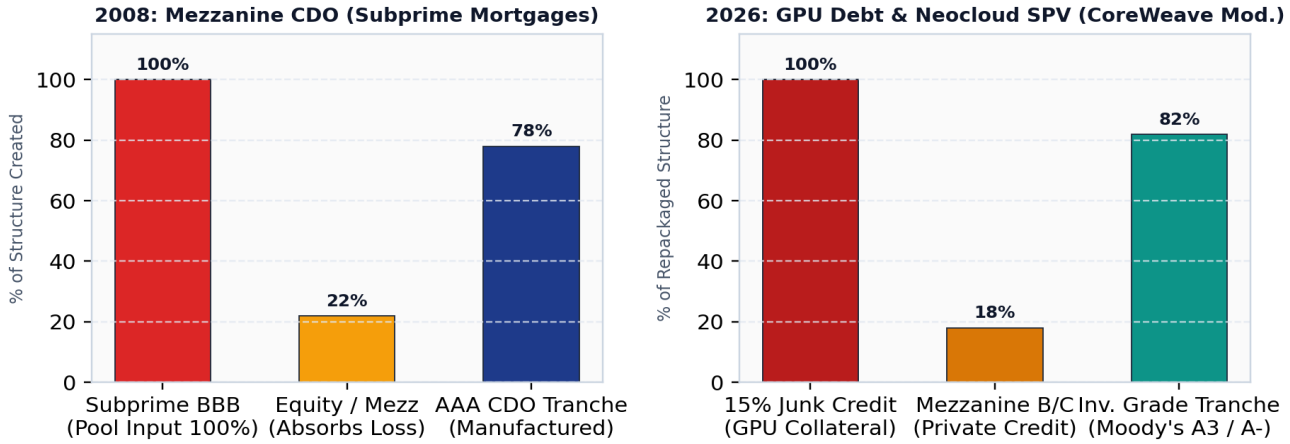
Risk Repackaging in the AI Cycle

Forensic Inquiry: 2008 Parallel (BBB to AAA), GPU-Collateralized Debt, and Structural Solidity of Senior Tranches

2008 ALCHEMY	2026 ALCHEMY	CLASS A COLLATERAL	HIDDEN RISK	HARDWARE MISMATCH
MBS BBB → AAA	**GPU Junk → A3 / A-**	**72% Hyperscalers**	**Vendor Financing**	**3y GPU vs 5y Debt**
Mezzanine CDO (David Li Copula)	SPV CoreWeave (Moody's DDTL)	Microsoft, AWS, Google (Sovereign)	Closed Loop Nvidia-OpenAI-Neocloud	Rapid Silicon Obsolescence

CRITICAL INQUIRY ADDRESSED: *In the 2008 GFC, BBB-rated debt was repackaged into Mezzanine CDOs creating 80% fictional 'AAA' notes premised on flawed zero-correlation assumptions.* ***In 2026, an analogous structural dynamic has emerged across private credit in AI****: neocloud debt bearing 15% high-yield coupons secured by volatile chips has been packaged into SPVs with take-or-pay contracts, securing* ***institutional Investment Grade ratings (Moody's A3 / DBRS A-)****. Conversely,* ***Class A notes in Physical Data Centers*** *retain authentic credit solidity because their collateral is physical grid power scarcity and the multi-trillion-dollar balance sheets of hyperscalers.*

1. Securitization Alchemy: Structural Parallel 2008 vs. 2026



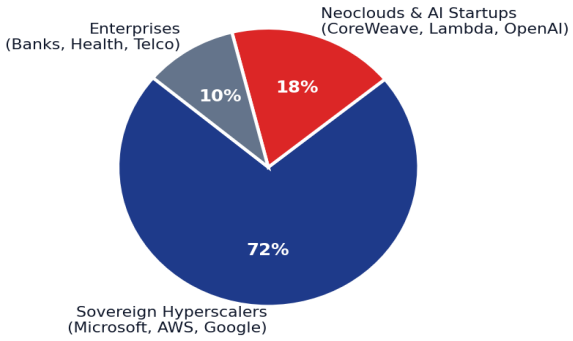
• **The 2008 Framework:** Originators bundled subprime mortgages from undocumented borrowers (NINJA loans) into RMBS. Slices rated BBB were repooled into Mezzanine CDOs, where Gaussian Copula modeling asserted that 75% to 80% of newly minted notes warranted AAA status due to geographic dispersion.

• **The 2026 Framework:** Neoclouds and AI providers raise expensive private debt (15% p.a.) collateralized directly by physical GPUs. To unlock institutional capital from insurers and pensions, hardware and forward leases are placed in bankruptcy-remote SPVs. Agencies like Moody's and DBRS rate these senior debt facilities **Investment Grade A3 / A-** (e.g., CoreWeave's $8.5 Billion DDTL in March 2026).

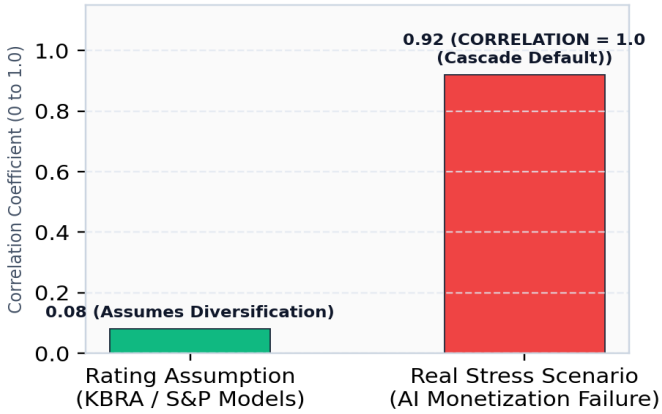
2. Subcomponent Decomposition: What Backs Senior Tranches?

To rigorously quantify credit exposure across senior tranches (Class A / AAA), we audit the revenue streams servicing debt facilities:

Tenant Mix in Senior ABS Deals (KBRA)



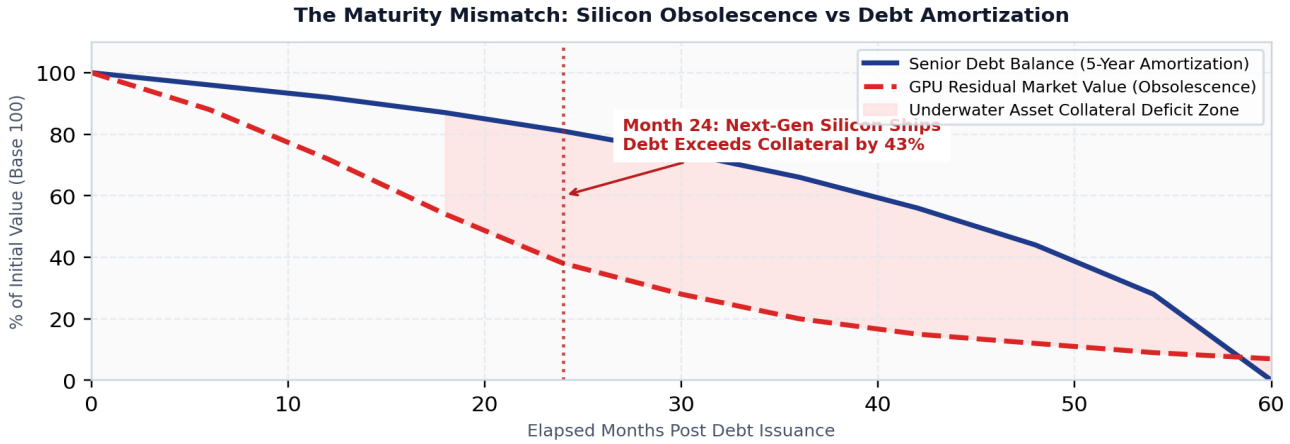
Default Correlation: Model vs Reality



Subcomponent Layer	Revenue Share	Key Counterparties	Solvency & Actual Risk Diagnosis
Subcomponent 1: Sovereign Hyperscalers	**65% to 80%** of ABS pool	Microsoft (AAA), AWS (AA), Google (AA+), Meta (AA-)	**Extremely Solid:** Multi-trillion-dollar balance sheets with immense free cash flows. Will service data center lease covenants for enterprise workloads regardless of AI volatility.
Subcomponent 2: Neoclouds & AI Startups	**15% to 25%** (growing share)	CoreWeave, Lambda Labs, OpenAI, xAI, Anthropic	**Highly Strained:** Cash-burning entities reliant on continuous venture infusions and private credit facilities to cover ongoing facility lease commitments.
Subcomponent 3: Global Enterprises	**10% to 15%** of pool	Wall Street banks, healthcare systems, telecom carriers	**Stable & Diversified:** Mission-critical corporate colocation with 5 to 10-year contracts escalating with inflation (CPI).
Subcomponent 4: Physical Collateral (Power)	**100%** of hard collateral	Power substations, secured PPAs, hardened facility shells	**Absolute Scarcity:** Grid-interconnected electricity possesses universal commercial value. In a tenant default, competitor hyperscalers queue to take over capacity.

3. Temporal Mismatch: 3-Year Hardware vs. 5 to 7-Year Debt

The primary structural vulnerability in AI debt financing resides in the **divergence between physical hardware depreciation and debt amortization horizons**:

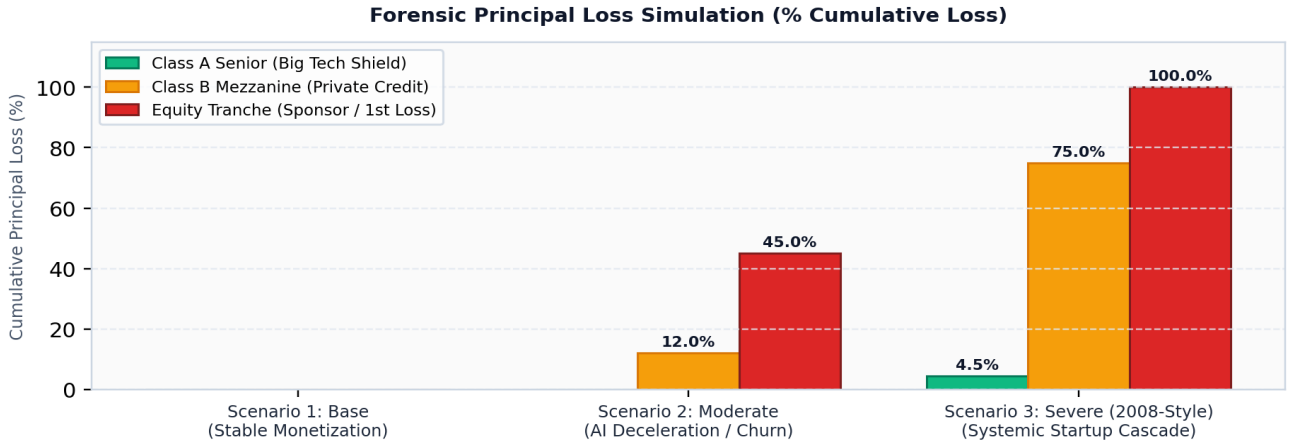


The Three Structural Collateral Impairment Drivers:

1. **The 'Underwater Collateral' Phenomenon:** Unlike commercial real estate which depreciates or appreciates slowly at 2%-3% annually, AI computing chips lose **60% to 75% of their economic value within 24 to 36 months** as denser architectures launch (e.g., Nvidia Blackwell and Rubin). Beyond month 20, outstanding facility debt significantly outstrips secondary GPU market liquidation values.
2. **Circular Vendor Financing (The Closed Loop):** Nvidia injects equity into startups and neoclouds (CoreWeave), which borrow private debt (Blackstone, Magnetar) and immediately recycle 100% of proceeds purchasing new Nvidia accelerators. This loop masks true end-user software demand.
3. **The Zero-Correlation Fallacy (David Li's Error Revisited):** Rating models assume defaults across AI venture clients are independent events. In practice, if generative software monetization stumbles, **default correlation across neoclouds surges to 1.0 simultaneously**, wiping out structural diversification.

4. Capital Loss Simulation and Final Forensic Diagnosis

To determine which tranches face principal impairments under a 2008-scale shock, we simulate loss severities across three stress regimes:



Debt Instrument / Tranche	Base Case (Current)	Moderate Stress (AI Digestion)	Severe Stress (2008-Style Shock)	Forensic Credit Verdict
Class A Senior Notes (Data Center ABS)	**0.0% Loss** Full debt service	**0.0% Loss** Overcollateralization buffers	**0% to 4.5% Loss** Hyperscalers honor covenants	**SHIELDED:** Benchmark Class A Data Center ABS will NOT default like 2008 CDOs due to high-grade contracts and grid power value.
Class B Mezzanine (Private Credit)	**0.0% Loss** Yield 7.5%-8.5%	**12.0% Loss** Coupons convert to PIK	**65% to 80% Loss** Widespread default	**VULNERABLE:** Class B notes absorb the initial shock of neocloud lease re-negotiations and retrofitting capex.
Direct GPU Facilities (Neocloud Term Debt)	**0.0% Loss** Rated A3 / A-	**25.0% Loss** Forced restructuring	**70% to 90% Loss** Underwater collateral	**THE REAL 'SUBPRIME':** Debt marketed as investment-grade but backstopped by rapidly depreciating computing chips.

FINAL FORENSIC DIAGNOSIS:
1. **Where is the 2008 risk?** It is NOT in traditional physical Data Center ABS (Class A), which is fortified by prime power assets and tech titans' balance sheets.
2. **Where is the actual contagion?** Systemic vulnerability resides in **direct GPU-collateralized loans and opaque private credit funds (*Shadow Banking*)**, where high-yield debt gained investment-grade stamps (A3/A-) while relying upon circular contracts from unprofitable AI startups.